25900300 **Reg.No : .....**

Name : .....

MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (HONOURS) Regular EXAMINATION October 2025

Third SEMESTER

Discipline Specific Core Course (DSC) - MG3DSCCOM200 - FINANCIAL ACCOUNTING

(2024 ADMISSION ONWARDS)

Duration: 2 Hours **Maximum Marks: 70**

Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A

Very Short Answer Questions

Answer any **12** questions

Each question carries **1** marks

1. Give the entry for transferring net loss to Capital account at the end of a financial year. [U] / [CO1]
2. How you will treat mutual owing in final accounts? [U] / [CO1]
3. Which convention follow the rule “anticipate no profits but provide for all probable losses.” [U] / [CO1]
4. MCA stands for----- [U] / [CO1]
5. Which framework ensures adherence to guidelines of regulators? [U] / [CO1]
6. What are the two methods of deepartmental accounting? [U] / [CO2]
7. Which type of accounting is suitable to evaluate the performance of each department? [U] / [CO2]
8. The practice of transferring goods between departments at cost or cost plus profit is known as _____ [U] / [CO2]
9. What is the entry for cash received from debtors? [U] / [CO3]

10. What is the main characteristic of a dependent branch? [U] / [CO3]

11. Under Stock and Debtors System, all branch expenses are transferred to _____. [U] / [CO3]

12. Write the journal entry for goods in transit in the books of Head Office. [U] / [CO3]

13. What happens to Short Working that cannot be recovered by Lessee? [U] / [CO4]

14. A mining lease has minimum rent of ₹80,000 per year and royalty at ₹8 per tonne. If 12,000 tonnes were extracted, calculate the total amount payable to the lessor. [U] / [CO4]

[1x12 = 12]

Part B

Short Answer/ Problem Type Questions

Answer any **4** questions

Each question carries **7** marks

15. "Consultation and exposure drafts are an integral part of the process of issuing Accounting Standards." Explain. [U] / [CO1]

16. From the following Information, Prepare Trading Account for the year ended 31st December 20XX [A] / [CO1]

Opening Stock- Rs. 1,50,000
Return Outward- Rs. 10,000
Cash Sales- Rs. 66,000
Wages- Rs. 4,000
Credit Sales- Rs. 12,00,000
Carriage Inward-Rs. 2,000
Freight Inwards-Rs. 3,000
Carriage Outward-Rs. 1,000
Purchases-Rs. 10,50,000
Return Inward- Rs.20,000
Closing Stock -Rs. 95,000

17. Calculate unrealised profit , pass the journal entry to adjust it, and Balance sheet disclosure in the following case. [A] / [CO2]

a) Department X transferred goods to Department Y at a profit of 25% on cost. The cost of goods was Rs 40000. At year-end, Department Y's closing stock includes 50% of thes goods.
b) Department A transferred goods to Department B . Closing stock of department B inclues Rs.24000 from Department A .Profit margin was 20% on Sales

18. What are the major accounts to be prepared under stock and debtors system Explain? [U] / [CO3]

19. The following are extracted from the Trial Balance of Head Office and its Bombay Branch:

Particulars	Head Office		Bombay Branch	
	Dr.	Cr.	Dr	Cr.
Branch Account	32,000			
Goods received from H.O.			21000	
Goods sent to Bombay Branch		24000		
Head Office Account				27000

[A] / [CO3]

Show how the adjusting entry will appear if it is given by head office and Branch.

20. Ram owned certain patent rights. He granted a license to Raju to use such rights on a royalty basis. The minimum rent was 2000 per year. The royalty was : 20xx – Rs.1500, 20xx – Rs. 1800, 20xx- Rs. 2750. The deficiency of any year is to be set off against excess payable within the next 2 years. Prepare Short workings a/c. [A] / [CO4]

[7x4 = 28]

Part C

Essay/ Problem Type Questions

Answer any **2** questions

Each question carries **15** marks

21. The following is the Trial Balance of Shri Sahodaran as on 31.03.20xx, Prepare Trading and Profit and Loss A/c and Balance sheet as on that date. [A] / [CO1, CO5]

Trial Balance

Particulars	Dr (Rs.)	Cr (Rs.)
Capital		1,05,000
Building	15,000	
Drawings	18,000	
Furniture and Fittings	7,500	
Motor Van	25,000	
Loan from Mr. A at 12%		15,000
interest		1,10,000
Sales	900	
Interest paid on the above	85,000	
Purchases	25,000	
Opening Stock	15,000	
Establishment Expenses	2,000	

Wages	1,000	
Insurance	28,100	
Debtors and Creditors		10,000
Commission	20,000	7,500
Bank Balance	10,100	
Input CGST	10,100	
Input SGST	4,800	
Input IGST		
Output CGST		6,000
Output SGST		6,000
Output IGST		8,000
	2,67,500	
		2,67,500

Adjustments

1.The value of closing stock on 31.03.20xx was Rs.32,000

2.Outstanding Wages Rs.500 and Prepaid Insurance Rs.300

3.Commission Received in advance Rs.800

4.Depreciate building by 10%, Furniture by 10% and Motor van by 20%

5.Create a reserve for 5% on Debtors for bad and doubtful debts.

22. Head office send goods to its branches at cost + 33.33%. From the following particulars relating to Hyderabad Branch, prepare branch account for the year ending 31.12.20XX in the head office. [A] / [CO3, CO5]

		₹
Stock at Branch on 01.01.20XX at invoice price		32,000
Debtors at Branch on 01.01.20XX		25,000
Branch furniture on 01.01.20XX		15,000
Petty cash 01.01.20XX		1,000
Goods received from H.O at invoice price		1,33,000
Cheque sent for Branch expenses		
Wages	4,000	
Office expenses	3,000	
Petty expenses	1,000	8,000
Cash sales		55,000
Credit sales		1,05,000
Cash received from customers		1,00,000
Discount allowed to debtors		1,000
Returns by customers		2,000
Goods returned by branch		8,000
Stock at Branch on 31.12.20XX at invoice price		20,000
Expenses outstanding on 31.12.20XX		1,000

Depreciate branch furniture at 20%, Petty expenses paid by branch manager ₹ 1,300

23. M/s. Metro Traders has two departments: Electronics and Furniture. The following is the trial balance as of 31st March 2024: [A] / [CO2, CO5]

Particulars	**Electronics (₹)**	**Furniture (₹)**	**General (₹)**
Debit Balances			
Opening Stock	8,00,000	12,00,000	-
Purchases	45,00,000	60,00,000	-
Wages	4,00,000	5,00,000	-
Carriage Inwards	1,50,000	2,00,000	-
Salaries	-	-	7,00,000
Rent	-	-	6,00,000
Advertising	-	-	3,00,000
Credit Balances			
Sales	70,00,000	85,00,000	-

Additional Information:
a) Closing Stock: Electronics ₹10,00,000; Furniture ₹15,00,000.
b) Provide for outstanding salaries: ₹50,000 (General).
c) Prepaid rent amounted to ₹1,00,000.
d) Depreciate Furniture Department's fixed assets @ 10% p.a. on the opening balance of ₹20,00,000. New assets worth ₹5,00,000 were purchased on 1st October 2023.
e) Apportion rent and advertising in the ratio of 4:6 between Electronics and Furniture departments.
You are required to prepare:
(i) Departmental Trading and Profit & Loss Accounts for the year ended 31st March 2024.
(ii) General Profit & Loss Account for the year ended 31st March 2024.

[15x2 = 30]